

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) F.M.M. — Semester IV Examination, 2015-16

Paper No. BCF-225: Indian Fiscal Management

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1.

How does Public finance differ from private finance? Explain.

[14]

OR

What do you mean by maximum social advantage principle? Discuss the factors testing its social advantage.

[14]

Question 2.

Define public expenditure. Discuss various canons of public expenditure.

[14]

OR

Explain different kinds of Public Expenditure.

[14]

Question 3.

Define public revenue. What are different sources of non-tax revenue? [14]

OR

Define direct tax. Discuss its merits and demerits. [14]

Question 4.

Write a note on public debt in India. [14]

OR

What is public debt? Discuss its significance in a developing country. [14]

Question 5.

Discuss the objectives and limitations of deficit financing. [14]

OR

Write short notes on the following: [7+7]

(i) Methods of deficit financing

(ii) Proportional tax